

(Contract-to-Employment (CTE) and Full-Time Employment (FTE))

1. Policy Statement

The Company recognizes that different employment arrangements may be necessary to support operational requirements while maintaining compliance with applicable labor laws. This policy establishes the guidelines governing the conversion of employment status between Contract-to-Employment (CTE) and Full-Time Employment (FTE).

All status conversions shall be implemented in accordance with the provisions of the Labor Code of the Philippines, applicable regulations of the Department of Labor and Employment, and the legitimate operational requirements of the Company.

2. Coverage

This policy shall apply to all employees of the Company whose employment status may be subject to conversion due to operational requirements, workforce planning, performance evaluation, organizational restructuring, or other legitimate business considerations.

3. Definition of Employment Status

For purposes of this policy, the following employment arrangements are recognized within the Company:

Contract-to-Employment (CTE)

Refers to an employment arrangement where an employee is engaged for a specified contractual period or under a temporary or project-based arrangement, subject to evaluation for potential conversion to full-time employment depending on operational needs and performance.

Full-Time Employment (FTE)

Refers to an employment status where an employee occupies a regular or permanent position within the Company and performs work that is necessary or desirable to the usual business or trade of the Company.

4. Conversion from CTE to FTE

The Company may convert the employment status of an employee from Contract-to-Employment (CTE) to Full-Time Employment (FTE) under any of the following circumstances:

- a) When the employee successfully meets the performance standards, qualifications, and competency requirements established by the Company for full-time employment.
- b) When the position occupied by the employee is determined to be necessary or desirable to the usual business or trade of the Company, consistent with the provisions of the Labor Code of the Philippines.
- c) When the employee has completed the required evaluation period under the CTE arrangement and management determines that the employee's continued service is required on a permanent basis.
- d) When operational requirements necessitate the establishment of a permanent role and the employee occupying the role is qualified for full-time employment.
- e) When the employee's length of service, nature of work, or circumstances of employment result in the employee being deemed to have acquired regular employment status under applicable labor laws and regulations.
- f) When required by applicable labor regulations, directives of the Department of Labor and Employment, or by a final decision of a competent authority.

All conversions from CTE to FTE shall be subject to management approval and the availability of an authorized position within the Company's organizational structure.

5. Conversion from FTE to CTE

Conversion from Full-Time Employment (FTE) to Contract-to-Employment (CTE) may only occur under legitimate and documented circumstances, including but not limited to the following:

- Organizational restructuring, workforce realignment, or changes in operational requirements;
- Reassignment of functions where the role becomes project-based, time-bound, or client-specific;
- Implementation of temporary operational arrangements necessary to support specific projects, contracts, or business engagements;
- Voluntary request by the employee for a change in employment arrangement, subject to management approval.

Any conversion from FTE to CTE shall:

- Be properly documented via Employee Change Form (ECF)
- Clearly specify the terms, scope, and duration of the new employment arrangement;
- Be implemented in compliance with applicable labor laws and regulations; and
- Not be used to circumvent the employee's statutory rights, security of tenure, or legally mandated benefits.

6. Documentation of Status Conversion

All employment status conversions shall be documented through an official personnel action or employment status change notice issued by the Human Resources Department.

The documentation shall include, at minimum, the following details:

- The employee's current employment status
- The new employment status
- The effective date of the conversion
- The reason for the status conversion
- Any applicable changes in employment terms and conditions

Employees shall receive written notice of their status conversion prior to the effectivity of the change.

7. Compliance with Labor Laws

All employment status conversions shall comply with the provisions of the Labor Code of the Philippines and related regulations issued by the Department of Labor and Employment.

No employment status conversion shall be implemented for the purpose of avoiding statutory employee rights, security of tenure, or compliance with labor standards.

POLICY REVIEW

This policy will continue to be in force unless superseded by a revised policy. The company reserves the right to amend, abrogate, modify, rescind/ reinstate the entire policy or any part of it at any time.

DOCUMENT HISTORY

Version	Date	Author (function)	Reviewed by	Approved by	Nature of changes
1.0	March 18, 2026	Dolley Campugan, HR Generalist Apple Mag-usara, HR Generalist	Rhea Alao, Finance & Accounting Director Mark Valencia, Site Director Marc Louise Castanares, Site Manager	Giovanni Yap, Executive Director Anthony Aragon, HR Director	First Integrated issue